

until January 1, 1929. Similarly, New York, New Haven, and Hartford Railroad Company Convertible Debenture 6s, due in 1948, although issued in 1907, were not convertible until January 15, 1923; Chesapeake Corporation Convertible 5s, due 1947, were issued in 1927 but did not become convertible until May 15, 1932.

More commonly the suspension of the conversion privilege does not last so long as these examples indicate, but in any event this practice introduces an additional factor of uncertainty and tends to render the privilege less valuable than it would be otherwise. This feature may account in part for the spread, indicated in Appendix Note 38, which existed during 1926, 1927, and the early part of 1928 between the Brooklyn Union Gas Company 5¹/₂s and the related common stock.

See Chapter 25, "Senior Securities with Warrants. Participating Issues. Switching and Hedging" online at www.mhprofessional.com/SecurityAnalysis7.